

The SME platforms have helped firms scale to the next level by providing them the benefits of listing like increased visibility, better access to finance and better compliance and processes

their directors and promoters were barred from the markets for allegedly using the exchange platforms for money laundering, tax evasion and manipulation.

“The schemes, plan, device and artifice employed in this case, apart from being a possible case of money laundering or tax evasion which could be seen by the concerned law enforcement agencies separately, is prima facie also a fraud in the securities market in as much as it involves, manipulative transactions in securities and misuse of the securities market,” stated an 80-page order issued by Sebi in June 2015.

In all, nearly 240 entities were barred from the securities market after the regulatory probe. “It appears that the entities... created demand for the supply of shares from preferential allottees and pre-IPO transferees and provided hugely profitable exit to them at an unrealistic price achieved through price manipulation,” stated the Sebi order, highlighting the fact that the unusual price rise was without any significant improvement in the companies’ financials.

Even today, the platforms see quite a few instances of stock prices registering a huge spike, though market participants feel that the wrongdoings in the SME segment are a thing of the past with the current regulatory framework being much more evolved and stringent than what it used to be during the early days of the segment.

“Barring a few stray instances, we have not come across any such undesirable cases. A more pertinent issue, in my view, is how vulnerable are businesses, and whether they are sustainable. The quality of businesses is a very critical barometer, especially given the fact that early-stage investing is high risk, high return. We must think of a more robust mechanism for en-



“The success of this platform has brought positivity among SMEs and other stakeholders... We have got firms listed from 20 states”

AJAY KUMAR

THAKUR

HEAD, BSE SME & START-UP, BSE



“This segment has emerged as a true alternative for early-stage businesses to raise growth capital without the interest burden”

MAHAVIR LUNAWAT

FOUNDER, PANTOMATH CAPITAL

surings that sustainable businesses are brought to the public in order to strive for next-level growth,” says Lunawat.

STRONG POTENTIAL

As for those who have taken advantage of the platform diligently, the benefits are many. “The SME platform prepares you to migrate to the main board and since the regulatory framework of the SME segment is a bit lenient compared to the main board, a company gets two to three years to make the requisite changes and be ready to move to the main board,” says Ashish Saraf, President of Manorama Industries, a Chhattisgarh-based SME that jumped to the main board after being listed in the SME segment.

The amount of respect and prestige definitely goes up after migrating, Saraf adds, highlighting the fact that he gets enquiries from many Chhattisgarh-based SMEs as they want to understand the experience and benefits of listing. Firms can migrate to the main board after staying listed on the SME platforms for a minimum of three years, of which they should be profitable for at least two years.

Given that listing has its benefits and there are a lot of SMEs wanting to get listed, there is strong potential for growth of both the SMEs and the segment. With exchanges doing a lot in terms of creating awareness, the coming years should be interesting for the segment, provided good quality companies come to the arena and stock prices are influenced by fundamentals instead of entities with vested interests. **BT**

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